

Vs. M/s Bashir Pipe Industries (Pvt.) Ltd. etc.

15-09-2025 M/s Rana Muhammad Mehtab and Ch. Muhammad Awais Kamboh, Advocates for the applicants.
M/s Hashim Aslam Butt, Muhammad Irfan, Ahmad Yar Khan, Ch. Muzammil Kamboh, Mazhar Abbas Malik, Irfan Haider Goraya and Ms. Fatima Mahmood, Advocates for the respondents.

2. The main argument advanced by the learned counsel for the applicant-department is that, prior to the Finance Act, 2024, Section 194C of the Act contained sub-sections (2) and (3A), which explicitly empowered the constitution of a Single Bench, however, the said sub-sections have been omitted by virtue of the Finance Act, 2024, and hence no such power remains in the statute to constitute a Single Bench. It is further contended that a textual distinction has been deliberately drawn in Section 194C of the Act between the use of the expressions “*constituted*” in sub-section (1) and “*authorized*” in sub section (4) of Section 194C *ibid*. Therefore, sub-section (4) cannot be read as an independent

enabling provision but is merely ancillary in nature, and can only be invoked in a situation where a Bench consisting of two Members has already been constituted and one of the Members is not available, in which case the remaining Member is merely authorized to proceed with the matter. It is also argued that no rules have been framed under Section 194C(2) of the Act in terms of the amendment introduced through the Finance Act, 2024, which, according to the applicant, demonstrates the absence of legislative intent to empower a Single Bench under the present scheme of law.

3. The learned counsel for the respondents, on the other hand, controverts the above position, arguing that after the omission of sub-section (3A) and amendment of sub-section (2) of Section 194C of the Act, the exclusive jurisdiction vests in the Chairman of the Tribunal to constitute either a Single Bench or a Bench consisting of more Members, depending upon the circumstances of the case. He submits that the only statutory embargo is contained in sub-sections (3) and (4) of Section 194C of the Act, whereby matters involving pecuniary jurisdiction exceeding five million rupees are to be heard by a Special Bench consisting of two or more Members, while matters below that threshold may lawfully be heard by a Single Bench. He further emphasizes that no substantive distinction can be drawn between the expressions “*constituted*” and “*authorized*” as employed in Section 194C of the Act; rather, both expressions, when read contextually, convey the same purpose and must be construed harmoniously to advance the legislative intent. Therefore, sub-section (4) of Section 194C is an independent enabling provision, not contingent upon the prior constitution of a two Member Bench, and its exercise is not dependent upon the framing of rules under Section 194C(2) of the Act.

4. We have heard the learned counsel for the parties on the above legal question. In order to appreciate the contentions of the respective parties and to record our opinion upon the legal issue, it would be appropriate to reproduce the relevant provisions of Section 194C of the Act, both prior to the amendment through the Finance Act, 2024, and after the amendment, which read as under:

Before the Amendment i.e. up to 30.06.2024	After the Amendment i.e. from 01.07.2024 to date
194-C. Procedure of Appellate Tribunal.- <i>(1) The powers and functions of the Appellate Tribunal may be exercised and discharged by Benches constituted by the Chairman from amongst the members thereof.</i> <i>(2) <u>Subject to the provisions contained in sub-sections (3) and (4), a Bench shall consist of one judicial member and one technical member.</u></i> <i>(3) Every appeal against a decision or order [deciding a case involving duty, tax, penalty or fine <u>exceeding five million rupees</u>] shall be heard by a Special Bench constituted by the Chairman for hearing such appeals and <u>such Bench shall consist of not less than two members and shall include at least one judicial member and one technical member</u></i> <i>[Provided that the Chairman may, for reasons to be recorded in writing, constitute Benches including</i>	194C. Procedure of Appellate Tribunal.— <i>(1) The powers and functions of the Appellate Tribunal may be exercised and discharged by Benches constituted by the Chairman from amongst the members thereof.</i> <i>(2) Subject to the provisions contained in sub-sections (3) and (4), the procedure of the Appellate Tribunal including constitution of benches, case management system, distribution of cases and other matters ancillary or incidental thereto shall be regulated by the rules under this Act.</i> <i>(3) <u>Every appeal against a decision or order deciding a case involving duty, tax, penalty or fine exceeding five million rupees shall be heard by a Special Bench for hearing such appeals and such Bench shall consist of not less than two members and shall include at least one</u></i>

special Benches consisting of	judicial member and one technical member:
(a) two or more technical members; or	Provided that the Chairman may, for reasons to be recorded in writing, constitute Benches including special Benches consisting of two or more –
(b) two or more judicial members:	(a) technical members; or
(3A) <u>Notwithstanding anything contained in sub-sections (2) and (3), the Chairman may constitute as many Benches consisting of a single member as he may deem necessary to hear such cases or class of cases as the Federal Government may, by order in writing, specify.</u>	(b) judicial members.
(4) The Chairman or any other member of the Appellate Tribunal authorized in this behalf by the Chairman may, sitting singly, dispose of any case which has been allotted to the bench of which he is a member where-	(4) The Chairman or any other member of the Appellate Tribunal authorized in this behalf by the Chairman may, sitting singly, dispose of any case which has been allotted to the bench of which he is a member where,-
(a) the value of the goods confiscated without option having been given to the owner of the goods to pay a fine in lieu of confiscation under section 181; or	(a) the value of the goods confiscated without option having been given to the owner of the goods to pay a fine in lieu of confiscation under section 181; or
(b) [Omitted]	(b) In any disputed case, the difference in duty or tax involved, or the amount of fine or penalty involved does not exceed five million rupees.
(c) in any disputed case, the difference in duty or tax involved or the duty or tax involved, or the amount of fine or penalty involved does not exceed [five] million rupees.]	

(emphasis supplied)

5. Keeping the above referred provisions in juxtaposition, it becomes evident that prior to the amendment

introduced through the Finance Act, 2024, under Section 194C(1) of the Customs Act, the powers and functions of the Tribunal were to be exercised and discharged by Benches constituted by the Chairman from amongst the Members thereof. Under sub-section (2), subject to sub-sections (3) and (4), a Bench was to consist of one Judicial Member and one Technical Member. Further, under sub-section (3A), notwithstanding anything contained in sub-section (2), the Chairman was empowered to constitute Benches consisting of a Single Member to hear such cases or class of cases as the Federal Government may specify in writing. Likewise, under sub-section (4), the Chairman, or any other Member of the Tribunal authorized in this behalf, could also sit singly and dispose of any case allotted to the Bench of which he was a Member, subject to the limitation that the case related either to the confiscation of goods without an option to pay fine in lieu thereof under Section 181 of the Act, or where the duty, tax, fine, or penalty involved did not exceed five million rupees.

6. After the amendment, sub-sections (2) and (3) of Section 194C have been restructured, and sub-section (3A) has altogether been omitted. However, the effect of such amendment is not to extinguish the concept of Single Member Benches. Sub-section (1) continues to empower the Chairman to constitute Benches, and the amended sub-section (2) does not impose any rigid requirement that every Bench must invariably comprise both a Judicial and a Technical Member. The only mandatory requirement is prescribed under the amended sub-section (3), which provides that every appeal involving duty, tax, penalty, or fine exceeding rupees five million shall be heard by a Special Bench consisting of not less than two Members, including at least one Judicial Member and one Technical Member. This

in reverse means that if the pecuniary limit does not exceed the above threshold, the appeal can be heard by Single Member Bench.

7. Admittedly, in the instant cases, the amount of duty, tax, fine, or penalty involved does not exceed the threshold of five million rupees. Consequently, the contention that the substitution of sub-section (2) and the omission of sub-section (3A) have obliterated the jurisdiction to constitute Single Benches is misconceived. Sub-section (4) of Section 194C continues to operate as an **independent enabling provision**, which empowers the Chairman or any duly authorized Member to sit singly and hear cases allocated to the Bench, subject to pecuniary limits. This provision operates *ex proprio vigore* and is not contingent upon the existence or constitution of a two-Member Bench.

8. It is a settled canon of statutory interpretation that where the legislature intends to curtail or withdraw an existing jurisdiction, such intent must be manifested through express words or necessary implication. The mere omission of sub-section (3A) does not, by itself, extinguish the distinct jurisdiction already preserved under sub-section (4). Rather, the retention of sub-section (4) after the amendment demonstrates the legislative intent to preserve the jurisdiction of Single Benches within the specified pecuniary limits. The principle *expressio unius est exclusio alterius* does not apply in the present context because the legislature, while omitting sub-section (3A), consciously restructured sub-section (2) and retained sub-section (4) as a substantive and independent basis of jurisdiction.

9. In view of the foregoing discussion, the orders passed by the Single Member of the Tribunal, both in this and the connected matters, do not suffer from any jurisdictional infirmity. The preliminary question of law is thus answered

in the affirmative, holding that Single Benches remain competent to adjudicate matters falling within the pecuniary limits of Section 194C of the Act.

10. Accordingly, these matters shall now be fixed for hearing on merits on **14.10.2025**, along with the connected cases.

MALIK JAVID IQBAL WAINS
JUDGE

ABID AZIZ SHEIKH
JUDGE

Approved for reporting

JUDGE

JUDGE

*Arsalan**